

HSBC Holdings PLC

Q226: Solid print, \$1bn buyback

Reiterate Rating: BUY | PO: 1,720 GBp | Price: 1,597 GBp

Overall: Solid beat from higher income

HSBC printed a solid set of Q226 numbers. PBT ex notable items was 5% ahead of consensus, driven by higher income. Within this, Banking NII was 1% ahead, while fee and other income was 4% ahead. Wholesale and Transaction Banking and Wealth were both beats (+5% and +7% respectively). Cost and impairments were broadly in line. Buyback restarted this quarter as per management guidance, at \$1bn (vs Visible Alpha consensus c.\$2bn). We remain positive on the stock and upgrade our PO to 1,720p (from 1,650p), reflecting (i) roll forward of estimates to 2028, and (ii) assuming a higher growth rate (3%, up from 2%) in part because loan growth in Hong Kong has accelerated in recent months. We reiterate our Buy recommendation.

Guidance: 2026 Banking NII increased to “at least” \$46bn

Management increased Banking NII guidance for 2026 to “at least \$46bn”, from “c.\$46bn”. Consensus is at c.\$46.5bn. Other guidance for the year was reiterated. While management still guides to +1% yoy target basis cost growth for the year, they have also noted that should strong business performance continue, they may consider increasing variable pay which would increase costs modestly. For 2027, management will consider accelerating initiatives to support future growth, the cost of which will be partly offset by the gains of the organisation simplification. Management now expects cost saves of \$2bn to be delivered from the programme, vs previously c.\$1.5bn.

Growth: Wealth +21% yoy, loan growth picking up, +2% qoq

HSBC demonstrated strong growth again this quarter. Wealth fee income was up +21% year on year, broad-based across asset management (+7%), insurance (+21%), private bank (+22%), and investment distribution (+26%). Balance sheet growth was also strong, at 3% deposit growth and 2% loan growth in the quarter. Loan growth was broad based from HK, UK and the CIB. Higher loan growth in part drove buyback below consensus (\$1bn vs consensus \$2bn).

Estimates (Dec) (USD)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	23,597	26,244	30,047	32,982	35,051
EPS (Adjusted)	1.29	1.51	1.76	1.96	2.13
EPS Change (YoY)	-0.1%	17.2%	16.8%	11.4%	8.7%
Dividend / Share	0.87	0.75	0.84	0.99	1.06
Adjusted NAV PS	8.61	9.64	9.88	10.63	11.32
ADR EPS (Adjusted - US\$)	6.43	7.53	8.79	9.80	10.7
ADR Dividend / Shares (US\$)	4.35	3.75	4.18	4.93	5.30
Valuation (Dec)					
P/E	16.7x	14.3x	12.2x	10.9x	10.1x
Price / NAV	2.51x	2.24x	2.18x	2.03x	1.90x
Net Yield	4.05%	3.49%	3.89%	4.60%	4.94%

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Refer to important disclosures on page 13 to 16. Analyst Certification on page 10. Price Objective Basis/Risk on page 10.

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04 August 2026

Equity

Key Changes

(US\$)	Previous	Current
Price Obj.	1,650.00p	1,720.00p
2026E EPS	1.77	1.76
2027E EPS	1.98	1.96
2028E EPS	2.18	2.13

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Stock Data

Price (Common / ADR)	1,597 GBp / 107.86 USD
Price Objective	1,720 GBp / 115.24 USD
Date Established	4-Aug-2026 / 4-Aug-2026
Investment Opinion	B-1-7 / B-1-7
52-Week Range	920.20 GBp-1,604 GBp
Market Value (mn)	274,490 GBp
Shares Outstanding (mn)	17,183.6 / 3,436.7
Average Daily Value (mn)	286.32 USD
Free Float	99.9%
BofA Ticker / Exchange	HBCYF / LSE
BofA Ticker / Exchange	HSBC / NYS
Bloomberg / Reuters	HSBA LN / HSBA.L
ROE (2026E)	16.3%
Net Dbt to Eqty (Dec-2025A)	NA

AT1: Additional Tier 1

CIB: Corporate and Investment Bank

GTS: Global Trade Solutions

HIBOR: Hong Kong Interbank Offer Rate

NII: Net interest income

iQprofileSM HSBC Holdings PLC

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(US\$ Millions)	IFRS	IFRS	IFRS	IFRS	IFRS
Net Interest Income	32,970	34,794	38,481	40,834	42,206
Net Fee Income	34,464	36,226	37,344	39,504	42,017
Securities Gains / (Losses)	NA	NA	NA	NA	NA
Other Income	0	0	0	0	0
Total Non-Interest Income	34,464	36,226	37,344	39,504	42,017
Total Operating Income	67,434	71,020	75,825	80,337	84,223
Operating Expenses	(32,810)	(33,464)	(34,608)	(35,852)	(37,111)
Pre-Provision Profit	34,624	37,556	41,216	44,485	47,113
Provisions Expense	(3,414)	(3,850)	(4,391)	(4,080)	(4,236)
Operating Profit	31,210	33,706	36,826	40,405	42,877
Non-Operating Items	1,098	(2,800)	1,657	2,947	2,947
Pre-Tax Income	32,308	30,906	38,483	43,353	45,824
Net Income to sh/holders	22,916	22,101	29,089	33,053	35,092
Adjusted Cash Earnings	23,597	26,244	30,047	32,982	35,051

Key Balance Sheet Data

Total Assets	3,017,048	3,233,034	3,484,806	3,621,398	3,761,840
Average Interest Earning Assets	2,099,285	2,260,485	2,435,408	2,629,590	2,768,106
Risk Weighted Assets	838,254	888,647	921,751	958,686	993,244
Total Gross Customer Loans	940,373	999,091	1,047,781	1,088,403	1,129,897
Total Customer Deposits	1,654,955	1,786,828	1,843,392	1,916,323	1,997,957
Tier 1 Capital	144,127	153,396	151,927	157,714	163,418
Tangible Equity	153,519	164,401	167,745	176,148	183,584
Common Shareholders' Equity	165,903	177,508	180,473	189,374	197,320

Key Metrics

Net Interest Margin	1.57%	1.54%	1.58%	1.55%	1.52%
Tier 1 Ratio	17.2%	17.3%	16.5%	16.5%	16.5%
Effective Tax Rate	22.6%	21.9%	20.7%	20.5%	20.3%
Loan / Assets Ratio	30.8%	30.6%	29.8%	29.8%	29.8%
Loan / Deposit Ratio	56.2%	55.3%	56.3%	56.2%	56.0%
Oper Leverage (Inc Growth - Cost Growth)	-0.30%	3.32%	3.35%	2.36%	1.33%
Gearing (Assets / Equity)	18.2x	18.2x	19.3x	19.1x	19.1x
Tangible Equity / Assets	5.09%	5.09%	4.81%	4.86%	4.88%
Tangible Equity / RWAs	18.3%	18.5%	18.2%	18.4%	18.5%

Business Performance

Revenue Growth	2.60%	5.32%	6.77%	5.95%	4.84%
Operating Expense Growth	2.90%	1.99%	3.42%	3.59%	3.51%
Provisions Expense Growth	-0.96%	12.8%	14.0%	-7.07%	3.83%
Operating Revenue / Average Assets	1.03%	1.08%	1.10%	1.14%	1.16%
Operating Expenses / Average Assets	-1.08%	-1.07%	-1.03%	-1.01%	-1.01%
Pre-Provision ROA	1.14%	1.20%	1.23%	1.25%	1.28%
ROA	0.76%	0.71%	0.87%	0.93%	0.95%
Pre-Provision ROE	20.8%	21.9%	23.0%	24.1%	24.4%
ROE	13.7%	12.9%	16.3%	17.9%	18.1%
RoTE	15.3%	16.5%	18.1%	19.2%	19.5%
RoRWAs	2.79%	3.04%	3.32%	3.51%	3.59%
Dividend Payout Ratio	67.7%	49.8%	47.5%	50.3%	49.8%
Efficiency Ratio (Cost / Income Ratio)	48.7%	47.1%	45.6%	44.6%	44.1%

Quality of Earnings

Total Non-Interest Inc / Operating Inc	51.1%	51.0%	49.2%	49.2%	49.9%
Market-Related Revenue / Total Revenues	0%	0%	0%	0%	0%
Provisioning Burden as % of PPP	9.86%	10.3%	10.7%	9.17%	8.99%
NPLs plus Foreclosed Real Estate / Loans	2.44%	2.50%	2.50%	2.50%	2.41%
Loan Loss Reserves / NPLs	42.8%	43.2%	41.2%	39.7%	39.7%
Loan Loss Reserves / Total Loans	1.04%	1.08%	1.03%	0.99%	0.96%
Provisions Expense / Average Loans	0.37%	0.40%	0.43%	0.39%	0.39%

Company Sector

Banks-Multinational/Universal

Company Description

HSBC Holdings is the leading cross-border international banking group, with particular strength in Asia (ex Japan), but also with strong presence in the UK, the Middle East, and North America. The UK and Hong Kong are its two home markets, where it has market-leading full service offerings. Outside of the home markets, its strategic focus are international corporate and institutional banking, and international wealth and premier banking focused on the affluent segment.

Investment Rationale

HSBC has an enviable franchise in both Hong Kong and the UK and is well placed to capture structural growth opportunity, such as Asia Wealth Management. HSBC's expected cash yield compares favourably with both the UK/HK and Chinese banks, particularly when buyback restarts. Management is now targeting 17% ROTE or better in each of 2026, 2027, and 2028, which we think they can exceed.

Stock Data

Shares / ADR	5.00
Price to Book Value	2.0x

Quarterly Earnings Estimates

	2025	2026
Q1	0.41A	0.44E
Q2	0.42A	0.46E
Q3	0.39A	0.45E
Q4	0.38A	0.41E

Key Changes

(US\$)	Previous	Current
Price Obj.	110.55	115.24
2026E EPS	8.86	8.79
2027E EPS	9.89	9.80
2028E EPS	10.88	10.66
2026E DPS	4.20	4.18

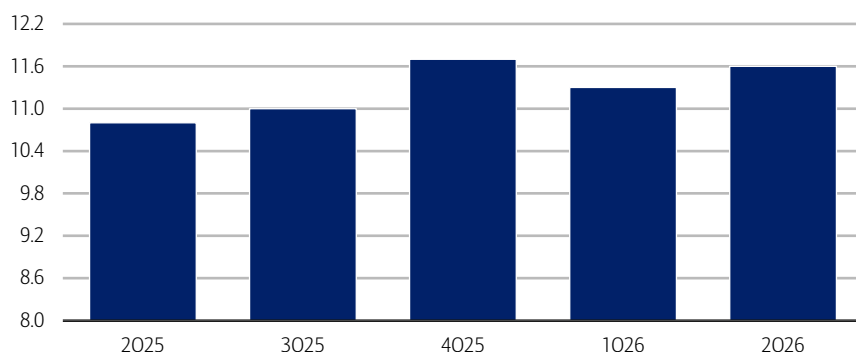
Banking NII: Loan growth 2% in the quarter

Banking NII guidance increased reflecting favourable rate outlook

Banking NII at c.\$11.6bn was c.1% ahead of consensus. Compared with the previous quarter, the growth of c.\$0.4bn in the quarter reflects (i) non repeat of \$0.1bn negative in Q1, (ii) day count, (iii) higher structural hedge income, (iv) loan and deposit growth.

Exhibit 1: Banking NII, Q225-Q226, \$bn

Banking NII was up \$0.4bn in the quarter



Source: Company reports

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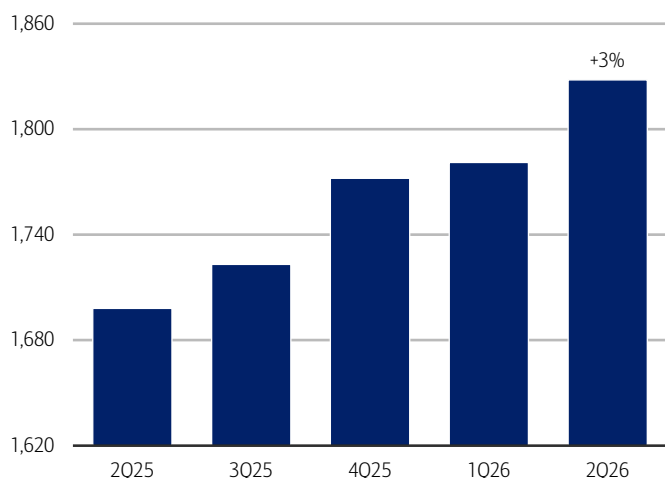
Estimate: \$46.8bn for 2028, vs “at least \$46bn” guidance, upside from balance sheet growth

With Q2 Banking NII at \$11.6bn, adjusting for day count should see Q3 and Q4 Banking NII at c.\$11.8bn. There is also c.\$25bn of structural hedge maturing in each of the two quarters at an average yield of 2.8% – using today’s rates uplift should be c.1.5%. Adding this on should see FY26 banking NII at c.\$46.6bn before further balance sheet growth. Outturn should be higher given strong trends in loan and deposit growth, notwithstanding some potential offset from (i) margin competition, and (ii) deposit beta. We forecast Banking NII of \$46.8bn for the year.

Strong loan and deposit growth in the quarter

Exhibit 2: Deposit growth, Q225-Q226, \$m

Deposit growth was strong at +3% in the quarter, although partly reflects some short term inflows in the CIB

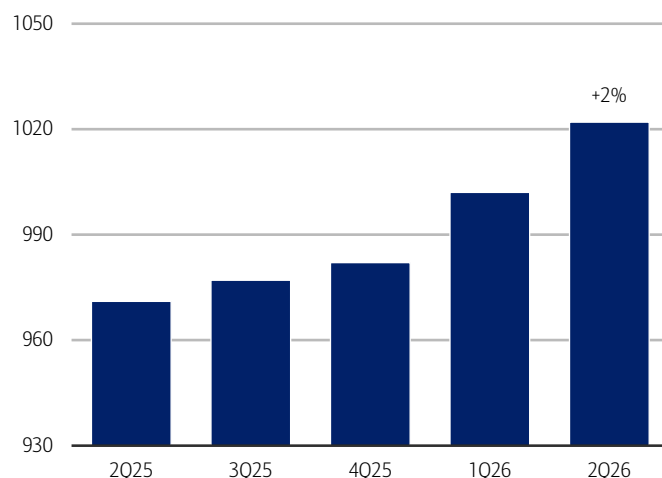


Source: Company reports

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Exhibit 3: Loan growth, Q225-Q226, \$m

Loan growth picked up strongly this year, with Q2 continuing the trajectory from Q1



Source: Company reports

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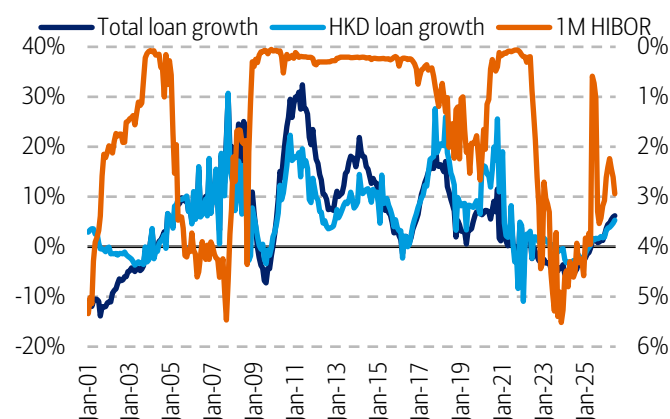
Deposit growth: This was primarily driven by strong growth in CIB, which reflects continued momentum in Global Payments Services, new Securities Services mandates, as well as short-term inflows.

Loan growth: This was broad based (HK, UK, CIB all contributed c.\$6bn of loan growth). In HK the loan growth was across GTS, commercial lending and mortgages, while in CIB it was led by GTS and Infrastructure Finance predominantly in Asia.

Hong Kong system loan growth has finally recovered after several years of weakness, accelerating to 6.2% YoY/6.4% HoH in 1H26 amid lower HIBOR. Growth has broadened across trade finance, manufacturing, transport and equipment, wholesale and retail trade, consumer lending and offshore loans. Property-related lending, however, remains weak and continues to be the main drag on the overall loan book. Against this backdrop, HSBC's Hong Kong loan book returned to growth, increasing 5.7% HoH in 1H26 compared with broadly flat balances in 2025.

Exhibit 4: HK system loan growth recovered to 6.2% in 1H26 amid lower HIBOR

HK system loan YoY growth vs 1M HIBOR

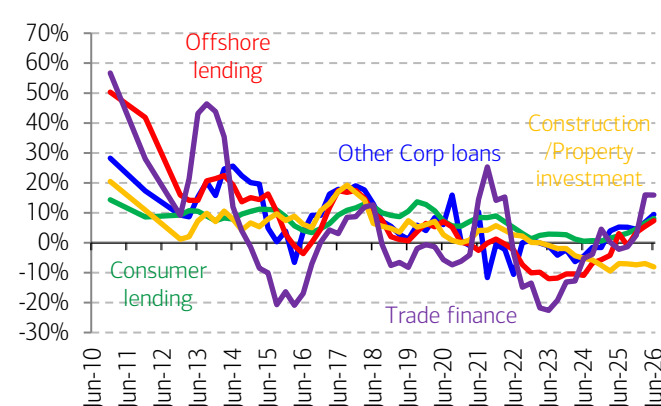


Source: HKMA

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Exhibit 5: Loan growth was broad-based in 1H26, except for property and construction lending

HK system loan YoY growth by category



Source: HKMA

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Hedge benefit through to 2028

While the hedge benefit is not as material to Banking NII as it is to the UK domestic banks, we note that in the current environment, hedge benefit will continue to support NII through to 2028.

Exhibit 6: Structural hedge disclosures

Roll off yield ranges from 2.8%-3.6% from now to 2028, NII benefit at current rates

\$bn	Balance	Average yield
Notional Balance	637	
3Q26-4Q26	c.50	2.80%
2027	c.120	3.30%
2028	c.110	3.60%

Source: Company reports

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Exhibit 7: Five year yields history

Market rates have increased in the last six month and now implying c.1-1.5% uplift on hedge roll

	Q425	Q126	Q226
USD	373	394	423
GBP	392	446	430
EUR	245	273	259

Source: Company reports

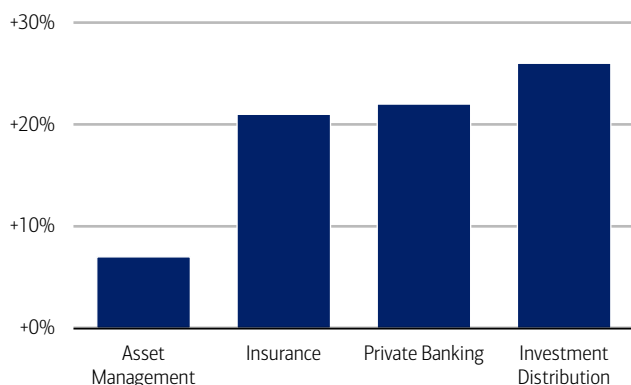
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Wealth – broad based across key products

Wealth fee and other income grew 21% YoY, up from 15% growth in 1Q26, driven by strong performance across investment distribution (+26%), private banking (+22%) and insurance (+21%).

Exhibit 8: Wealth fee income growth year on year, by category

Strong, broad based performance across insurance, private banking and investment distribution

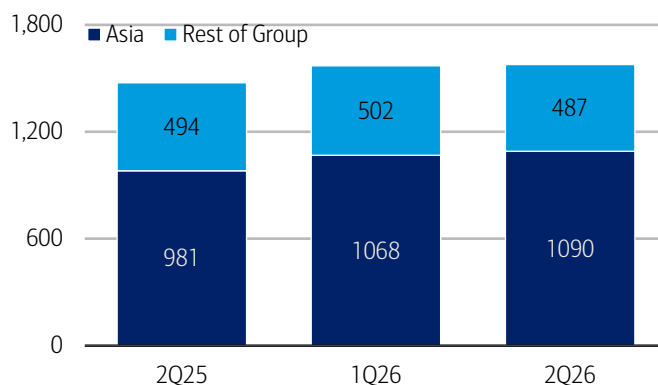


Source: Company reports

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Exhibit 9: Wealth balances, \$bn

Wealth balance was up \$8bn, as \$25bn net new money was partially offset by market impact, FX and other



Source: Company reports

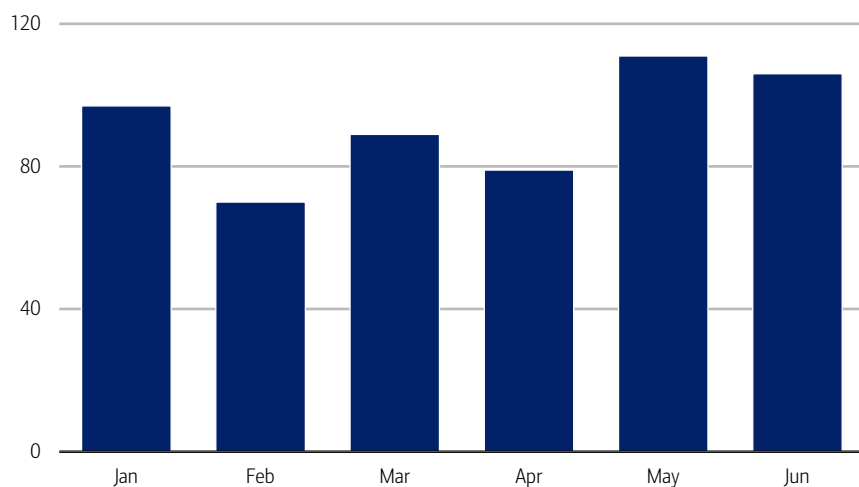
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It is worth noting that in Wealth balances, Market impact, FX and other includes cancellation of \$25bn of unlisted shares held in custody as at 31 March 2026, where conversion has occurred during the second quarter, and c.\$18bn of Wealth balances reclassified as HFS in 2Q26, including Singapore Insurance \$10bn, Indonesia retail banking \$5bn and Malta \$2bn.

New to bank customers remain strong, little impact from recent regulatory tightening

Exhibit 10: Monthly customer acquisition, k

New customer acquisition momentum continued in Q2



Source: Company reports

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Actual vs consensus

Exhibit 11: Q226 results vs consensus

Q226 underlying PBT ex notable items was 5% ahead of consensus, largely driven by higher income

	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	Actual	2Q26	BofA	2Q26 vs		
	Actual	Actual	Actual	Actual	Actual	Actual	Actual	Cons		Cons	2Q25	1Q26
Reported P&L												
Net interest income	8,185	8,302										
Other income	3,379	9,347										
Income	11,564	17,649	16,473	17,788	16,364	18,624	19,118	18,570	18,984	3%	16%	3%
ECL	(1,362)	(876)	(1,065)	(1,008)	(901)	(1,301)	(1,052)	(1,066)	(1,077)	-1%	-1%	-19%
Expenses	(8,604)	(8,102)	(8,920)	(10,076)	(9,330)	(8,721)	(8,705)	(8,718)	(8,838)	0%	-2%	0%
Associates	679	813	(162)	591	669	774	785	722	760	9%	-585%	1%
Profit before tax	2,277	9,484	6,326	7,295	6,802	9,376	10,146	9,508	9,829	7%	60%	8%
Tax	(1,692)	(1,914)	(1,455)	(1,792)	(1,615)	(1,982)	(2,219)	(2,012)	(1,966)	10%	53%	12%
Profit after tax	585	7,570	4,871	5,503	5,187	7,394	7,927	7,496	7,864	6%	63%	7%
Minorities	(388)	(638)	(293)	(630)	(468)	(456)	(239)	(211)	(185)	13%	-18%	-48%
Attributable profit	197	6,932	4,578	4,873	4,719	6,938	7,688	7,285	7,679	6%	n.a.	11%
Notable items												
Income	(4,940)	(91)	(1,184)	(112)	(1,359)	(501)	75	(47)	0	-	-	-
Expenses	(106)	(191)	(652)	(1,696)	(425)	(178)	(269)	(281)	(305)	-	-	-
Impairment inc associates			(1,000)					0	0	-	-	-
Profit before tax	(5,046)	(282)	(2,836)	(1,808)	(1,784)	(679)	(194)	(328)	(305)	-	-	-
Ex notables												
Banking NII	10,904	10,599	10,714	11,049	11,722	11,253	11,643	11,527	11,625	1%	9%	3%
Fees and other income	5,600	7,141	6,943	6,851	6,001	7,872	7,400	7,090	7,360	4%	7%	-6%
Income	16,504	17,740	17,657	17,900	17,723	19,125	19,043	18,617	18,984	2%	8%	0%
ECL	(1,362)	(876)	(1,065)	(1,008)	(901)	(1,301)	(1,052)	(1,066)	(1,077)	-1%	-1%	-19%
Expenses	(8,498)	(7,911)	(8,268)	(8,380)	(8,905)	(8,543)	(8,436)	(8,437)	(8,533)	0%	2%	-1%
Associates	679	813	838	591	669	774	785	722	760	9%	-6%	1%
Profit before tax	7,323	9,766	9,162	9,103	8,586	10,055	10,340	9,836	10,134	5%	13%	3%
Key metrics												
Banking NII	10,904	10,599	10,714	11,049	11,722	11,253	11,643	11,527	11,625	1%	9%	3%
DPS (\$)	0.36	0.10	0.10	0.10	0.45	0.10	0.10	0.10	0.10	0%	0%	0%
Buybacks (i)	2,000	3,000	3,000	0	0	0	1,000	1,958	2,000.00			
CET1 ratio	14.9%	14.7%	14.6%	14.5%	14.9%	14.0%	14.1%	14.2%	14.2%	-0.1%	-0.5%	0.1%
RWA (\$bn)	838	853	887	879	889	884	906	894	895	1%	2%	3%
Net customer loans	930,658	944,708	981,722	982,886	988,399	1,001,957	1,022,105	1,015,500	1,011,963	1%	4%	2%
Loan loss rate	0.57%	0.37%	0.43%	0.40%	0.36%	0.52%	0.41%	0.42%	0.42%	-0.01%	0.0%	-0.1%
TNAVPS	8.61	9.08	9.17	9.22	9.64	9.46	9.36	9.39	9.36	0%	2%	-1%

Source: Company reports, company consensus

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Estimate changes FY26-FY28

Exhibit 12: Estimate changes for FY26-FY28

Underlying forecast largely unchanged, with higher income offsetting higher costs

	2026E			2027E			2028E		
	New	Old	Change	New	Old	Change	New	Old	Change
Underlying P&L (\$m)									
Net interest income	38,481	38,407	0%	40,834	40,435	1%	42,206	41,721	1%
Non Interest income	37,344	37,124	1%	39,504	39,163	1%	42,017	41,625	1%
Total income	75,825	75,532	0%	80,337	79,599	1%	84,223	83,346	1%
Operating costs	(34,608)	(34,317)	1%	(35,852)	(35,223)	2%	(37,111)	(36,227)	2%
Pre-provision profits	41,216	41,215	0%	44,485	44,376	0%	47,113	47,119	0%
Impairments	(4,391)	(4,591)	-4%	(4,080)	(4,091)	0%	(4,236)	(4,196)	1%
Associates and JV	2,836	2,736	4%	2,947	2,843	4%	2,947	2,843	4%
Underlying PBT	39,662	39,360	1%	43,353	43,129	1%	45,824	45,766	0%
Income exceptionals	(535)	(711)		2,300	500		-	-	
Cost exceptionals	(1,179)	(1,070)		(350)	(200)		(200)	(200)	
Impairment exceptionals	-	-		-	-		-	-	
Stat profit before tax	37,948	37,579	1%	45,303	43,429	4%	45,624	45,566	0%
Tax	(7,969)	(7,666)		(8,875)	(8,859)		(9,307)	(9,295)	
Other equity holders	(1,300)	(1,183)		(1,300)	(1,183)		(1,300)	(1,183)	
NCI	(125)	(150)		(125)	(150)		(125)	(150)	
Statutory AP	28,554	28,580	0%	35,003	33,236	5%	34,892	34,937	0%
Banking NII	46,802	46,729	0%	49,155	48,757	1%	50,527	50,043	1%
Non Banking NII	29,022	28,803	1%	31,182	30,842	1%	33,696	33,303	1%
Profitability Metrics									
EPS (reported)	167	168	0%	208	200	4%	212	217	-2%
EPS (underlying)	176	177	-1%	196	198	-1%	213	218	-2%
Stat ROTE	17.4%	17.5%	-0.1%	20.3%	19.7%	0.6%	19.3%	20.0%	-0.7%
Underlying ROTE	18.3%	18.4%	-0.2%	19.1%	19.5%	-0.4%	19.4%	20.1%	-0.7%
Key balance sheet items (\$m)									
Loans and advances to customers	1,037,070	1,037,070	0%	1,077,692	1,061,868	1%	1,119,186	1,092,128	2%
Tangible Equity	168,276	166,125	1%	176,679	171,437	3%	184,115	177,532	4%
TBVPs	988	983	1%	1,063	1,047	1%	1,132	1,117	1%
Capital and Distributions									
CET1 ratio	14.2%	14.1%	0.2%	14.3%	14.0%	0.3%	14.4%	14.0%	0.3%
Risk Weighted Assets	921,751	914,689	1%	958,686	939,246	2%	993,244	963,713	3%
DPS (c)	83.6	84.0	0%	98.7	99.9	-1%	106.1	108.3	-2%
Buyback announced	5,000	7,000	-29%	9,500	11,000	-14%	9,500	11,000	-14%

Source: BofA Global Research estimates

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Banking NII: We have kept our forecast for 2026 broadly unchanged and increased our estimates slightly in 2027/2028, reflecting higher loan growth. We now forecast c.4% loan growth year on year, vs previously c.2-3%.

Non interest income: We have increased our fee income forecast by c.1%, as Wealth and Wholesale Transaction Banking were both above our (and consensus) forecast this quarter, and we remain positive on the underlying trends.

Costs: We have increased costs by c.1-2% across FY26-28. For FY26 management noted that should strong business performance continue, they may consider increasing variable pay which would increase costs modestly. While the guidance is still +1% yoy target basis cost growth, we forecast c.2% cost growth as we are positive on H2 performance.

Management also noted that for 2027 they will consider accelerating initiatives to support future growth, although 2027 cost growth will be partly offset by the P&L benefits of organisational simplification. It is worth noting that the simplification programme is now expected to deliver \$2bn of cost saves (previously \$1.5bn).

Below the line items: We have adjusted our forecasts for below the line items, taking into account the latest disposals, including the disposal of Singapore announced in July. 2027 revenue exceptional \$2.3bn includes the following

- Singapore insurance disposal gain: \$1.8bn gain on disposal by H127
- Indonesia retail banking disposal gain: \$0.4bn
- Egypt retail banking disposal gain: \$0.3bn
- Germany custody business disposal gain: \$0.1bn
- Australia retail banking FX recycling loss: \$0.3bn (could take place in 2028)

It is worth noting that the Singapore insurance disposal will be classified as a material notable item, and therefore excluded from the calculation of dividends. HSBC Life Singapore generated an operating profit of c. EUR80mn/c. USD90mn, we would therefore expect the impact on the group PL to be minimal.

Buybacks: We have reduced our buyback expectations through the forecast horizon by \$1.5-2bn. We previously expected announced buyback of \$2-3bn per quarter, but given this quarter's announced buyback of \$1bn we have revised our assumption, particularly in the context of higher expected loan growth. That said, we think 2027 buyback would be supported by the disposal gains to some extent.

Underlying EPS: We have reduced our underlying EPS forecasts slightly despite limited changes to PBT, reflecting (i) lower buybacks, (ii) higher buyback execution price given recent share price movements, and (iii) higher charges from 'other equity holders' (likely AT1 holders).

Revised estimates vs consensus

Exhibit 13: Revised estimates vs consensus, FY26-28

Our underlying PBT estimates are 2-4% ahead of consensus

	2026			2027			2028		
	Cons	BofA	Diff	Cons	BofA	Diff	Cons	BofA	Diff
NII	46,495	46,802	1%	48,294	49,155	2%	49,864	50,527	1%
Other income	28,427	29,022	2%	30,070	31,182	4%	32,074	33,696	5%
Total income	74,922	75,825	1%	78,364	80,337	3%	81,938	84,223	3%
Costs	(34,326)	(34,608)	1%	(35,383)	(35,852)	1%	(36,500)	(37,111)	2%
PPOP	40,596	41,216	2%	42,981	44,485	4%	45,438	47,113	4%
Impairments	(4,521)	(4,391)	-3%	(4,003)	(4,080)	2%	(4,081)	(4,236)	4%
Other income/ Associates	2,760	2,836	3%	2,818	2,947	5%	2,923	2,947	1%
Underlying PBT	38,835	39,662	2%	41,796	43,353	4%	44,280	45,824	3%
Exceptionals	(1,713)	(1,714)	0%	(92)	1,950	n.a.	(327)	(200)	-39%
PBT	37,122	37,948	2%	41,704	45,303	9%	43,953	45,624	4%

Reported EPS (i)	163.0p	167.2p	3%	188.0p	208.0p	11%	204.0p	212.2p	4%
Adj. EPS		175.9p			196.0p			213.1p	

ROTE (ex notable items)	17.7%	18.3%	0.6%	18.4%	19.1%	0.7%	18.8%	19.4%	0.6%
CET1	14.2%	14.2%	0.0%	14.3%	14.3%	0.0%	14.5%	14.4%	-0.1%
DPS	84.0	83.6	-1%	94.0	98.7	5%	103.0	106.1	3%
Buyback (i)	5,758	5,000	-13%	10,000	9,500	-5%	9,000	9,500	6%
TBVPS	988	988	0%	1059	1,063	0%	1137	1,132	0%

Source: Company consensus

(i) Visible Alpha consensus

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Our revised estimates are c.2-4% ahead of consensus, reflecting higher income (both NII and non NII), partially offset by higher costs. Within non interest income, consensus forecasts c.3-4% growth per year for Wholesale and Transaction Banking, and c.11% growth per year for Wealth, which feel low to us. Our NII is in part higher because of higher loan growth assumptions (we assume 4% loan growth vs consensus c.3%).

Valuation: Roll forward to 2028, PO 1,720p

Exhibit 14: Valuation based on 2028 SOTP

We have rolled forward our valuation using 2028 forecasts

SOTP valuation	Post tax earnings	Adj. for minorities	RWA	RWA (t-1)	Assumed allocation	Implied CET1	Implied CET1 (t-1)	ROCET1 (%)	COE %	Growth rate	Implied P/CET1	Implied P/E	Implied value
HK	10,381	9,994	152,901	147,021	14%	21,406	20,583	48%	10%	4%	6.84	14.66	146,511
UK	5,303	5,078	175,915	169,149	14%	24,628	23,681	21%	11%	2%	2.11	10.25	52,051
CIB	11,685	11,213	472,129	453,970	14%	66,098	63,556	17%	13%	3%	1.44	8.51	95,456
IWPB	6,202	6,452	96,107	93,308	14%	13,455	13,063	49%	11%	3%	6.09	12.70	81,916
Corp centre (mostly associate)		2,155	96,191	95,239	14%	13,467	13,333	16%	11%	0%	1.53	9.57	20,624
Total	33,571	34,892	993,244	958,686	15%	139,054	134,216	26%	11.0%	3%	2.85	11.37	396,557
Share count	17,024												
Discounted value per share	20.11												
Cumulative dividends	2.75												
Capital excess	0.18												
Valuation in \$	23.04												
Valuation in £	17.2												
PO	16.5												

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

We have changed our growth assumption from 2% to 3%, reflecting a higher retention rate. We expect management to put more capital to support loan growth which has accelerated in recent months. This means a lower total payout which implies a higher growth rate.



Price objective basis & risk

HSBC Holdings PLC (HBCYF / HSBC)

We derive our PO using a sum-of-the-parts (SOTP) valuation where we value each business line separately using target P/E and implied P/TBV multiples based on 2028e earnings. At group level, this results in an implied cost of equity (COE) of c.11% assuming 3% growth. We incorporate the discounted value of cumulative dividends paid over the forecasting period, as well as excess capital to 14% CET1 (bottom end of management's target range). Using this approach, we calculate a PO of GBp 1720p (USD 115.24).

Downside risks to our PO: (i) US interest rates falling faster than expected, (ii) Middle East conflict escalates leading to a global slowdown.

Analyst Certification

I, Perlie Mong, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Special Disclosures

BofA Securities is currently acting as Financial Advisor to HSBC Holdings Plc in connection with its proposed sale of its Custody Business in Germany to BNP Paribas S.A. Niederlassung Deutschland, which was announced on June 27, 2025.

BofA Securities is currently acting as Financial Advisor to HSBC Holdings Plc in connection with its proposed sale of its Fund Administration Business in Germany to BlackFin Capital Partners S.A.S., which was announced on July 11, 2025.

EMEA - Banks Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	ABN AMRO	ABMRF	ABN NA	Tarik El Mejjad
	Alpha Bank	ALBKF	ALPHA GA	David Taranto
	Bank of Ireland	XBOIF	BIRG ID	Perlie Mong
	Barclays PLC	BCLYF	BARC LN	Perlie Mong
	Barclays PLC	BCS	BCS US	Perlie Mong
	BNP Paribas	BNPQF	BNP FP	Tarik El Mejjad
	BNP Paribas	BNPQY	BNPQY US	Tarik El Mejjad
	CaixaBank	CIXPF	CABK SQ	Antonio Reale
	Commerzbank	CRZBF	CBK GY	Tarik El Mejjad
	Danske Bank	DNSKF	DANSKE DC	Tarik El Mejjad
	Deutsche Bank	DB	DB US	Tarik El Mejjad
	Deutsche Bank	XDUSF	DBK GY	Tarik El Mejjad
	Erste Bank	EBKOF	EBS AV	Tarik El Mejjad
	Erste Bank	EBKDY	EBKDY US	Tarik El Mejjad
	Eurobank	EGFEF	EUROB GA	David Taranto
	HSBC -A	HSBC	HSBC US	Perlie Mong
	HSBC Holdings PLC	HBCYF	HSBA LN	Perlie Mong
	KBC Group	KBCSF	KBC BB	Tarik El Mejjad
	KBC Group	KBCSY	KBCSY US	Tarik El Mejjad
	Natwest Group	NWG	NWG US	Perlie Mong
	NatWest Group	RBSPF	NWG LN	Perlie Mong
	Piraeus Financial Holdings	BPIRF	TPEIR GA	David Taranto
	Poste Italiane	PITAF	PST IM	Antonio Reale
	Societe Generale	SCGLF	GLE FP	Tarik El Mejjad
	Societe Generale	SCGLY	SCGLY US	Tarik El Mejjad
	UBS	XUHJF	UBSG SW	Antonio Reale
	UBS	UBS	UBS US	Antonio Reale

EMEA - Banks Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Unicredit	UNCF	UCG IM	Antonio Reale
	Unicredit	UNCRY	UNCRY US	Antonio Reale
NEUTRAL				
	Allied Irish Banks	AIBRF	AIBG ID	Perlie Mong
	Banco Bilbao Vizcaya Argentaria	BBVA	BBVA US	Antonio Reale
	Banco Sabadell	BNDSF	SAB SQ	Antonio Reale
	BBVA	BBVXF	BBVA SQ	Antonio Reale
	Credit Agricole	CRARF	ACA FP	Tarik El Mejjad
	DNB	DNBBF	DNB NO	Tarik El Mejjad
	DNB	DNBBY	DNBBY US	Tarik El Mejjad
	ING Groep NV	ING	ING US	Tarik El Mejjad
	ING Groep NV	INGVF	INGA NA	Tarik El Mejjad
	Lloyds Banking Group	LLDTF	LLOY LN	Perlie Mong
	Lloyds Banking Group	LYG	LYG US	Perlie Mong
	National Bank of Greece	XNBGF	ETE GA	David Taranto
	Santander	SAN	SAN US	Antonio Reale
	Santander	BCDRF	SAN SQ	Antonio Reale
	Standard Chartered	SCBFF	STAN LN	Perlie Mong
	Standard Chartered	SCBFY	SCBFY US	Perlie Mong
UNDERPERFORM				
	Bankinter	BKIMF	BKT SQ	Antonio Reale
	Handelsbanken	SVNLF	SHBA SS	Tarik El Mejjad
	Nordea	NBNKF	NDA FH	Tarik El Mejjad
	Nordea	XSABF	NDA SS	Tarik El Mejjad
	Nordea	NRDBY	NRDBY US	Tarik El Mejjad
	SEB	SVKEF	SEBA SS	Tarik El Mejjad
	Svenska Handelsbanke	SVNLY	SVNLY US	Tarik El Mejjad
	Swedbank	SWDBF	SWEDA SS	Tarik El Mejjad
	Swedbank	SWDBY	SWDBY US	Tarik El Mejjad
	Unicaja	UNJCF	UNI SM	Antonio Reale
RSTR				
	Banco BPM	BNCZF	BAMI IM	Antonio Reale
	Intesa Sanpaolo	IITSF	ISP IM	Antonio Reale
	Intesa Sanpaolo	ISNPY	ISNPY US	Antonio Reale
	Monte dei Paschi	BMDPF	BMPS IM	Antonio Reale

iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization



Valuation Toolkit

Numerator

Denominator

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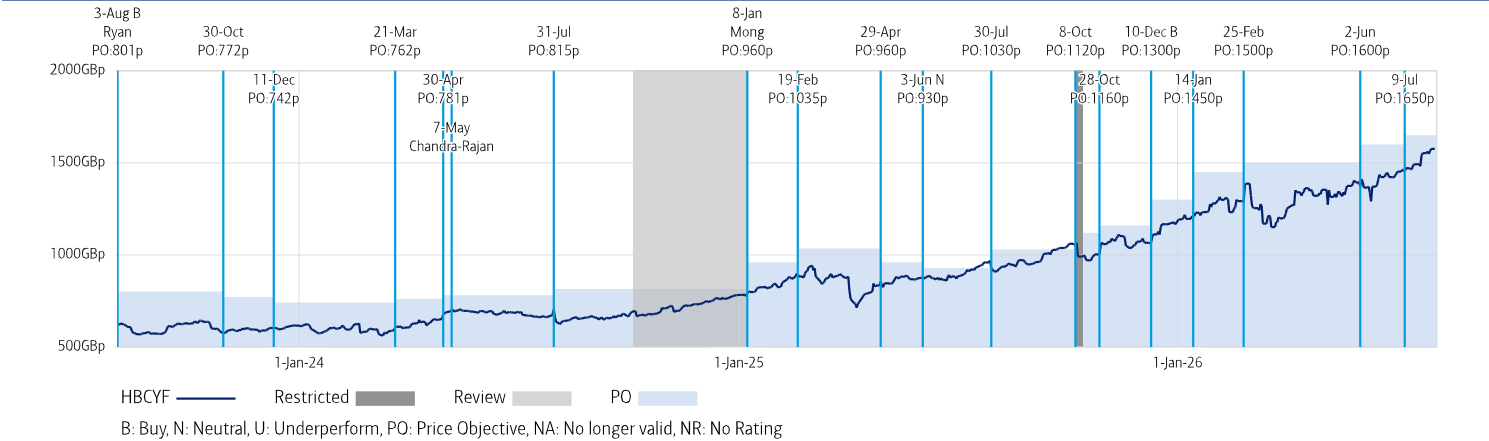
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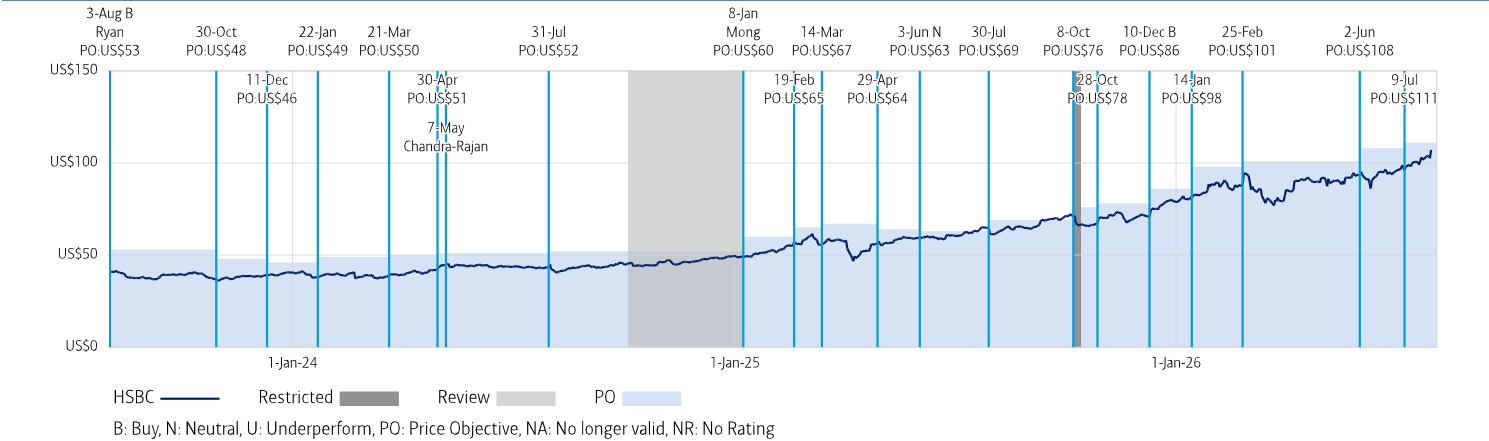
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HSBC (HBCYF) Price Chart



The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

HSBC -A (HSBC) Price Chart



The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Banks Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	119	54.84%	Buy	104	87.39%
Hold	57	26.27%	Hold	44	77.19%
Sell	41	18.89%	Sell	32	78.05%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.



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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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